

Eurolux Universal Bank AG

Sustainability-related Financial Disclosures (prepared with reference to IFRS S1 and IFRS S2)

Reporting year: 2024

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General Requirements

Understanding the Bank's approach towards implementing IFRS S1 and IFRS S2 requirements

This report sets out Eurolux Universal Bank AG's sustainability-related and climate-related financial disclosures in an IFRS S1 and IFRS S2-style structure. The disclosures are intended to be read as a dedicated chapter of a bank-focused sustainability report.

The primary purpose of these disclosures is to provide decision-useful information on sustainability-related and climate-related risks and opportunities that could reasonably be expected to affect the Bank's cash flows, access to finance or cost of capital over the short, medium and long term.

The report is organised around the four core disclosure pillars:

- Governance – how the Board and management oversee and manage sustainability-related and climate-related risks and opportunities.
- Strategy – how these risks and opportunities are integrated into the Bank's business model, portfolio strategy and planning.
- Risk management – how the Bank identifies, assesses, prioritises and monitors sustainability-related and climate-related risks, including through a climate risk register and scenario analysis.
- Metrics and targets – how the Bank measures and tracks performance, including financed emissions, portfolio exposures to climate-sensitive sectors and climate-related targets.

The Bank applies the concepts and structure of IFRS S1 and IFRS S2 as the primary framing for these disclosures. The report is intended to be consistent with the direction of sustainability reporting

requirements that may apply to banks operating in Europe, including the evolving requirements under the Corporate Sustainability Reporting Directive, without asserting full legal compliance with any specific jurisdictional regime or with IFRS Sustainability Disclosure Standards.

Parts of the report rely on internal estimates and models and on the data currently available to the Bank, particularly for climate scenario analysis, financed emissions and sector-level portfolio views. The Bank currently uses modelled estimates and proxies for these areas, and these will be refined as its data, systems and methodologies develop.

Fair presentation

This section explains the Bank's basis of preparation and the qualitative characteristics that guide the sustainability-related financial disclosures.

The Bank prepares these disclosures with the intention that they:

- focus on sustainability-related and climate-related risks and opportunities that could reasonably be expected to affect the Bank's prospects;
- use the same reporting currency as the Bank's general purpose financial statements;
- are structured and described in a way that is understandable and decision-useful for users of general purpose financial reports; and
- are prepared using processes and controls that are proportionate to the current maturity of sustainability reporting within the Bank.

The Bank has not yet confirmed alignment of the sustainability reporting boundary with the consolidation boundary used in the financial statements. As a result, this report does not assert that all entities included in the financial statements are fully covered by the sustainability-related and climate-related disclosures.

In applying these principles, the Bank:

- uses quantitative data where it is available and sufficiently reliable, and supplements it with qualitative explanations where data is incomplete or still under development;
- distinguishes, where relevant, between historical information, current-period performance, and forward-looking analysis or scenario-based assessments;
- highlights where information is subject to significant estimation uncertainty, particularly in relation to climate scenario analysis, financed emissions and sector-level portfolio exposures; and
- provides additional narrative explanations where this is needed to understand the potential effects of sustainability-related and climate-related risks and opportunities on the Bank's cash flows, access to finance and cost of capital.

Certain disclosures, including elements of the climate scenario analysis, financed emissions and sector-level portfolio views, are derived from internal models and modelled estimates rather than from fully mature internal reporting systems. These disclosures may therefore be subject to change as methodologies and data sources are enhanced.

The Bank does not claim that this report is exhaustive of all possible sustainability-related information. Certain data sets, methodologies and controls are still being developed, and some

disclosures are therefore subject to limitations in data coverage, granularity or historical time series. Where relevant, these limitations are described in the respective Governance, Strategy, Risk management, and Metrics and targets sections.

The Bank does not claim external assurance over the report as a whole. Any external assurance activities that the Bank undertakes in relation to environmental metrics are limited in scope and, where applicable, relate to selected Scope 1 and Scope 2 greenhouse gas emissions only. Financed emissions and other portfolio-level climate metrics are not currently subject to external assurance.

Connected information

The Bank aims to present sustainability-related and climate-related information in a connected manner so that users can understand how governance, strategy, risk management, and metrics and targets interact.

Key connectivity principles applied in this report are:

- **Governance–Strategy linkage:** Board and management oversight of climate-related matters is described in the Governance section, including the use of a climate risk register and reporting on climate-related topics. These governance arrangements inform strategic decisions on portfolio positioning, sectoral exposures and climate-related opportunities, which are described in the Strategy section.
- **Strategy–Risk management linkage:** The Strategy section explains how climate-related risks and opportunities are considered in the Bank's business and portfolio strategy, including exposures to sectors such as mining, energy-intensive manufacturing and transport. The Risk management section describes how these exposures are identified, assessed and monitored through risk registers, scenario analysis and sector-level exposure mapping.
- **Risk management–Metrics and targets linkage:** The Risk management section outlines the processes used to prioritise climate-related risks, including transition and physical risks across the value chain. The Metrics and targets section then discloses quantitative indicators, such as financed emissions and exposures to climate-sensitive sectors, which are used to monitor these risks and track progress against climate-related targets.
- **Governance–Metrics linkage:** Governance disclosures are based on the Bank's current governance arrangements and reporting practices. Trend metrics on Board and committee activity, climate expertise and climate-linked remuneration are intended to provide insight into how governance structures support the Bank's climate-related metrics and targets.

Where relevant, the report also explains how sustainability-related and climate-related risks and opportunities may affect key financial statement areas, such as credit risk, expected credit losses, funding costs and capital allocation. These linkages are described qualitatively in the Strategy and Risk management sections and are intended to support users in connecting the sustainability-related disclosures with the Bank's financial statements.

Comparative information

The Bank provides comparative information where it is currently available and sufficiently reliable to support meaningful analysis of trends.

For governance-related indicators, trend information may be provided for:

- the number of Board and relevant committee meetings at which climate or broader environmental, social and governance topics were discussed;
- the proportion of Board members with climate-related or sustainability-related expertise;
- the proportion of the Chief Executive Officer's and other executives' variable remuneration that is linked to climate-related or sustainability-related performance; and
- the frequency with which climate-related topics appear on the Board agenda.

These trend indicators, where disclosed, are discussed in the Governance and Metrics and targets sections.

For portfolio-level climate metrics, including financed emissions, sectoral exposures to climate-sensitive industries and climate-related targets, the Bank is in the process of building consistent time series. Comparative information for these metrics may not yet be available on a basis that the Bank considers sufficiently consistent and reliable for inclusion in this report.

Where methodologies, data sources or boundaries for specific metrics change in future periods, the Bank intends, where practicable, to explain the nature of the change and its effect on trend information in the relevant sections.

Timing and location of disclosure

This General Requirements section forms part of Eurolux Universal Bank AG's dedicated sustainability-related and climate-related financial disclosure report.

The report is designed to complement, and be read alongside, the Bank's general purpose financial statements. The Bank does not, in this section, specify the publication date, filing location or whether the report is integrated with other reporting documents. Users should refer to the Bank's main reporting channels for information on how this report is made available together with the financial statements and other regulatory disclosures.

Reporting entity, business model and value chain

This subsection describes the reporting entity, the high-level business profile and the value chain elements that are relevant for sustainability-related and climate-related disclosures.

Reporting entity and currency

- The reporting entity for this report is Eurolux Universal Bank AG.
- The Bank is headquartered in Germany.
- The reporting currency used for monetary amounts in this report is euro (EUR), consistent with the Bank's financial reporting currency.

Total assets and loans

- The Bank's total assets amount to approximately EUR 850,000 million.
- The Bank's total loans amount to approximately EUR 31,150.64 million.

These figures provide context for the scale of the Bank's balance sheet and the relative significance of climate-sensitive exposures discussed in the Strategy, Risk management, and Metrics and targets sections.

Consolidation boundary

The Bank's consolidation boundary and the list of subsidiaries included in the financial statements are not described in this section. The Bank has not yet confirmed alignment of the sustainability reporting boundary with the consolidation boundary used in the financial statements. Accordingly, this report does not specify whether all subsidiaries or branches are fully covered by the sustainability-related and climate-related disclosures. Where relevant, individual sections may indicate if a metric or process applies to a subset of the Bank's activities.

Business model and value chain

The Bank operates as a universal bank. Detailed segmental descriptions of the business model are not provided in this section; instead, the focus is on value chain elements that are relevant for sustainability-related and climate-related risks and opportunities.

The Bank's value chain, as considered for this report, includes:

- Own operations
- Own banking operations – buildings: The Bank's operational sites and related activities generate Scope 1 and Scope 2 emissions and are exposed to potential physical disruption.
- Corporate fleet and business travel: These activities contribute to the Bank's operational emissions and are exposed to transition-related considerations, such as evolving market expectations and potential policy changes affecting transport.
- Upstream suppliers
- IT infrastructure and cloud providers: The Bank relies on external providers for technology and data services. While these relationships are not currently assessed as climate-material for the Bank's financial prospects, they are recognised as part of the broader environmental footprint.
- Office space landlords: The Bank leases office space from third-party landlords. These arrangements influence the Bank's indirect environmental impacts but are not currently assessed as climate-material for financial prospects.
- Professional services suppliers: The Bank engages a range of professional services providers. These relationships are not currently assessed as climate-material for the Bank's financial prospects.
- Downstream and financing activities The Bank's lending and financing activities represent the most significant channel through which climate-related risks and opportunities may affect its prospects. Key climate-sensitive sectors in the corporate lending portfolio include, among others:
 - Manufacture of coke and refined petroleum products;
 - Mining of coal and lignite;
 - Mining of metal ores and other mining and quarrying;
 - Air transport;

- Manufacture of motor vehicles;
- Manufacture of electrical equipment;
- Manufacture of food products;
- Civil engineering; and
- Education.

For several of these sectors, the Bank has identified elevated transition risk, particularly where activities are sensitive to carbon pricing, regulatory change and shifts in demand. For others, the Bank has identified exposure to physical chronic risk and moderate transition risk. These sectoral exposures are central to the Bank's climate-related risk assessment and financed emissions metrics and are discussed further in the Strategy, Risk management, and Metrics and targets sections.

Certain downstream activities, such as employee commuting, are recognised as part of the Bank's broader environmental footprint but are not currently assessed as climate-material for the Bank's financial prospects and are therefore not a primary focus of this report.

Sources of guidance

This subsection explains the main sources of guidance used to frame the Bank's sustainability-related and climate-related financial disclosures.

The basis of preparation for this report is an IFRS S1 and IFRS S2-style approach, specifically:

- IFRS S1, which sets out general requirements for sustainability-related financial disclosures; and
- IFRS S2, which sets out specific requirements for climate-related disclosures.

These standards inform the Bank's focus on:

- sustainability-related and climate-related risks and opportunities that could reasonably be expected to affect the Bank's cash flows, access to finance or cost of capital;
- the four-pillar structure of Governance, Strategy, Risk management, and Metrics and targets; and
- the need to explain connections between sustainability-related disclosures and the Bank's financial prospects.

In developing this report, the Bank has not yet systematically applied the disclosure topics and metrics from the SASB Standards. The Bank is considering how such industry-specific topics and metrics could be used in future to complement the IFRS Sustainability Disclosure Standards, particularly for selected lending and financing portfolios.

No other formal disclosure frameworks or report-preparation standards are described as having been applied in the preparation of this report.

Statement of compliance

This subsection sets out the Bank's position on alignment with IFRS Sustainability Disclosure Standards.

The Bank has prepared this report with the intention of aligning its sustainability-related and climate-related financial disclosures with the structure and key concepts of IFRS S1 and IFRS S2. This includes:

- focusing on sustainability-related and climate-related risks and opportunities that could reasonably be expected to affect the Bank's prospects;
- using the four-pillar structure of Governance, Strategy, Risk management, and Metrics and targets;
- seeking to provide information that is relevant, comparable, understandable and presented on a timely basis; and
- explaining, where possible, how sustainability-related and climate-related matters may affect the Bank's cash flows, access to finance and cost of capital over different time horizons.

The Bank does not assert full compliance with IFRS S1 or IFRS S2. Certain elements that would be required for a formal statement of compliance, such as a comprehensive mapping of all applicable disclosure requirements, detailed methodology descriptions for all metrics, and explicit confirmation of alignment of all data and assumptions with the financial statements, are not included in this report.

The Bank intends to continue developing its sustainability reporting capabilities and may refine its alignment with IFRS Sustainability Disclosure Standards in future reporting periods.

Materiality assessment

This subsection explains how the Bank determines which sustainability-related and climate-related topics and disclosures are included in this report.

The Bank applies a financial materiality lens consistent with the concepts underlying IFRS S1 and IFRS S2. Sustainability-related and climate-related risks and opportunities are considered material for this report if they could reasonably be expected to affect the Bank's cash flows, access to finance or cost of capital over the short, medium or long term.

The Bank's approach to identifying material topics for this report is risk- and portfolio-driven and is based on:

- Risk registers and climate risk mapping: The Bank maintains a climate risk register and related risk mapping that identify key transition and physical risks across its activities and value chain, including own operations and financing activities.
- Portfolio exposure analysis: The Bank analyses its lending and financing exposures by sector, with particular attention to sectors with elevated transition risk (such as fossil fuel extraction, energy-intensive industries and carbon-intensive transport) and sectors with notable physical chronic risk.
- Scenario analysis and sectoral sensitivity: Climate scenario analysis and sector-level sensitivity assessments are used to explore how different climate pathways could affect credit risk, portfolio quality and access to finance. These analyses inform the prioritisation of sectors and risk types for disclosure.
- Value chain considerations: The Bank considers where in its value chain sustainability-related and climate-related risks and opportunities are most likely to affect its financial prospects, with a primary focus on downstream financing activities and a secondary focus on own operations.

No formal, stand-alone materiality matrix is presented in this report. Instead, the selection of topics and metrics reflects the Bank's current risk register, value-chain mapping, portfolio exposures and climate-related analytical work.

Within this framework:

- Own operations are considered material where they give rise to greenhouse gas emissions, potential physical disruption to operations, or reputational and regulatory considerations that could indirectly affect the Bank's prospects.
- Upstream suppliers are considered material where service disruption or changes in cost or availability could affect the Bank's operations or its ability to deliver products and services.
- Downstream financing activities are considered material where sectoral transition or physical risks could affect borrowers' creditworthiness, collateral values, or demand for financial products, thereby affecting the Bank's credit risk profile, capital requirements and funding costs.

The Bank recognises that its materiality assessment approach will continue to evolve as data quality improves, methodologies mature and regulatory expectations develop. Future reports may expand or refine the set of topics, metrics and sectors covered as the Bank's understanding of sustainability-related and climate-related risks and opportunities deepens.

Governance

Overview

This section describes how Eurolux Universal Bank AG governs climate-related risks and opportunities in 2024.

Climate-related governance is reflected in Board oversight, ESG & Sustainability Committee activity, executive management responsibility, semi-annual Board reporting, ERM integration indicators, climate checks for major transactions and a climate risk register. Governance indicators the Bank reports include the percentage of Board meetings with climate on the agenda, the proportion of Board members with climate expertise and the proportion of executive remuneration linked to climate or broader environmental, social and governance (ESG) objectives. Documented climate-related decisions in 2024 complement these indicators and reporting flows.

These governance arrangements support the oversight of climate-related risks and opportunities described in the strategy, risk management and metrics and targets sections of this report.

The role of the Board of Directors

The Board of Directors has overall oversight of climate-related risks and opportunities as part of its governance of the Bank.

In 2024, the Board comprised 10 members, with 68.5% classified as independent. The Board met eight times during the year, compared with seven meetings in 2023 and four meetings in 2022. Climate-related topics were on the Board agenda for 72.6% of meetings in 2024, compared with 73.1% in 2023 and 69.8% in 2022. These indicators show that climate-related matters were regularly considered at Board level.

Climate risk reporting is provided to the Board on a semi-annual basis. This reporting gives an overview of material climate-related risks and informs the Board's oversight of climate-related risks and opportunities. Board oversight of climate-related matters is further reflected in the governance indicators the Bank reports and in documented climate-related decisions taken during 2024, which are described in the Governance decisions, controls and evidence boundaries subsection.

Board committees and climate-related oversight

Board-level oversight of climate-related matters is supported by an ESG & Sustainability Committee.

The ESG & Sustainability Committee met seven times in 2024, compared with six meetings in 2023 and five meetings in 2022. Committee activity in 2024 included consideration of climate-related topics and discussion of related management proposals. The committee reports to the Board, providing for more detailed discussion of climate-related risks, opportunities and related management proposals alongside Board consideration.

The Bank does not disclose a separate ESG & Sustainability Committee charter or terms of reference in this report. The committee's role in climate-related oversight is therefore described on the basis of its meeting frequency and recorded climate-related agenda coverage.

Committee oversight of climate-related matters is reflected in the frequency of meetings, the coverage of climate-related topics and documented climate-related decisions in 2024, which are set out in the Governance decisions, controls and evidence boundaries subsection.

Management responsibility for climate-related risks and opportunities

Management responsibility for climate-related risks and opportunities is assigned to the Climate Risk Management Committee.

In 2024, the Climate Risk Management Committee coordinated climate risk management activities and provided climate risk reporting to the Board on a semi-annual basis. The Bank performed climate checks for major transactions in 2024, reflecting the consideration of climate-related factors in significant business decisions. ERM integration indicators show that climate-related risks are linked to the Bank's enterprise risk management processes for a subset of recorded risks.

The Bank uses a climate risk register that, in 2024, recorded 8 climate-related risks. These risks cover physical acute, physical chronic, transition market, transition policy, transition reputational and transition technology categories. Risks are classified by rating (high or medium) and by time horizon (short, medium or long). Monitoring frequencies recorded in the register are quarterly and semi-annual. For example, the register includes a high-rated transition technology risk related to the shift to electric vehicles in auto lending, with a short-term time horizon of up to two years, monitored quarterly and associated with an estimated potential financial impact of EUR 165.2 million. Scenario analysis identifiers are linked to several risks, and mitigation actions are recorded in the register, including:

- climate scenario stress testing integrated into the Internal Capital Adequacy Assessment Process (ICAAP);
- collateral revaluation and flood mapping overlay;
- engagement and transition-plan covenants with borrowers;
- green retrofit financing incentives;
- portfolio decarbonisation glide-path monitoring; and
- sector exposure limits and enhanced due diligence.

ERM integration indicators show that 6 of 8 recorded climate-related risks carry an ERM-integration flag; enterprise-wide integration into the enterprise risk management framework is not evidenced. Four of the eight climate-related risks changed since the prior period. Formal escalation thresholds or trigger-based escalation mechanics are not evidenced in the climate risk register.

Management's role in climate-related governance is therefore reflected in the operation of the Climate Risk Management Committee, the use of the climate risk register, ERM integration indicators, semi-annual reporting to the Board and climate checks for major transactions.

Skills, competencies and remuneration

The Bank considers Board and executive skills, competencies and remuneration as part of its climate-related governance.

Board-level climate expertise is tracked as a governance indicator. The proportion of Board members with climate expertise was 37.5% in 2024, compared with 35.5% in 2023 and 33.5% in 2022. The Bank operates a skills development programme that includes climate-related topics. The Bank does not currently describe a separate formal process for assessing the adequacy of Board climate skills in this report.

Remuneration structures incorporate ESG and climate-related elements. The Chief Executive Officer's compensation included an ESG-linked component of 9.3% in 2024, compared with 7.8% in 2023 and 6.3% in 2022. For all executives, climate-linked remuneration represented 15.1% of total remuneration in 2024, compared with 15.3% in 2023 and 8.7% in 2022. These indicators show that climate-related and broader ESG objectives are reflected in executive remuneration.

Skills, competencies and remuneration arrangements described in this subsection form part of the governance context for the climate-related strategy, risk management and metrics and targets set out elsewhere in this report.

Governance decisions, controls and evidence boundaries

This subsection summarises key climate-related governance decisions and controls in 2024 and sets out relevant evidence boundaries.

In 2024, documented Board and committee decisions on climate-related matters included:

- On 24 January 2024, the Full Board approved the 2024 ESG report for publication, following discussion of topics including carbon credit approval and transition plan review.
- On 15 April 2024, the ESG & Sustainability Committee and the Full Board approved the climate scenario analysis methodology, following a series of meetings during 2024 at which topics such as executive remuneration ESG key performance indicators, net-zero progress, physical risk updates, Task Force on Climate-related Financial Disclosures (TCFD) review and transition plan review were discussed.
- On 15 April, 20 May, 19 July and 26 November 2024, the ESG & Sustainability Committee and the Full Board approved the carbon credit procurement budget, in the context of discussions covering executive remuneration ESG key performance indicators, net-zero progress, physical risk updates, scenario analysis, TCFD review and transition plan review.
- On 7 October 2024, the Full Board endorsed an updated transition plan, following discussion of green finance growth and TCFD-related topics.
- On 1 November 2024, the Full Board endorsed a revision to interim net-zero targets, following discussion of net-zero progress.

These decisions, together with semi-annual climate risk reporting to the Board and the operation of the climate risk register, are key documented elements of climate-related governance for 2024.

External assurance over climate-related metrics is limited to Scope 1 and Scope 2 greenhouse gas emissions. In 2024, EY provided limited assurance in accordance with ISAE 3000 over the Bank's Scope 1 and Scope 2 emissions. Financed emissions and other Scope 3 categories, including the Bank's 2024 financed emissions of 35,973,168 tonnes of CO₂ equivalent, are outside the stated assurance scope.

The Bank's governance indicators include climate-on-agenda percentage, Board climate-expertise percentage and climate-linked remuneration percentages. Board decision evidence identifies climate-related decisions but does not describe quantified or specific Board-level trade-offs such as profitability, capital allocation, implementation cost, risk appetite or competing strategic priorities.

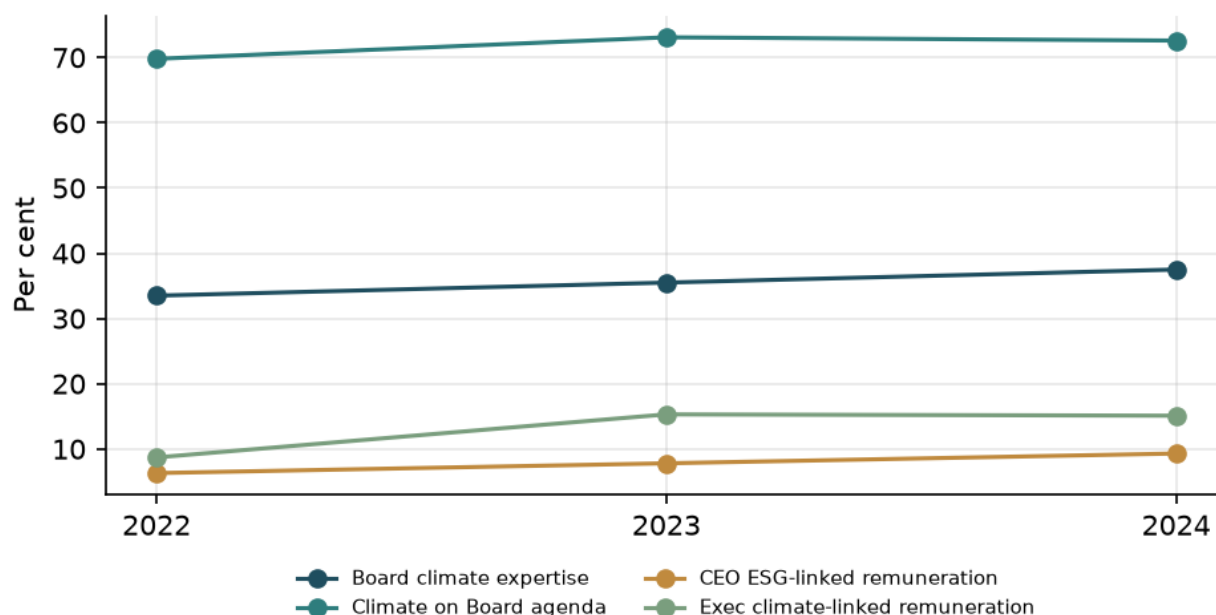
The Bank reports that its climate-related disclosures are aligned with TCFD and IFRS S2 as an alignment indicator. This report does not describe a separate governance control process designed specifically to verify or assure that alignment.

Supporting data and exhibits

Table G1 — Climate governance indicators (three-year trend)

Indicator	2022	2023	2024
Full Board meetings	4	7	8
ESG & Sustainability Committee meetings	5	6	7
Board members with climate expertise	33.5%	35.5%	37.5%
Meetings with climate on the agenda	69.8%	73.1%	72.6%
CEO remuneration linked to ESG	6.3%	7.8%	9.3%
Executive remuneration linked to climate	8.7%	15.3%	15.1%

Figure G1 — Climate governance indicators, 2022–2024



Strategy

Overview

This Strategy section explains how Eurolux Universal Bank AG integrates climate-related risks and opportunities into its overall business strategy, value chain, risk management and financial planning.

Our climate-related strategy is structured around: (i) identifying material physical and transition risks across our lending and operational footprint; (ii) steering the portfolio, including high-carbon and fossil-fuel exposures, in line with our climate-related targets; (iii) capturing climate-related business opportunities, particularly in green and transition finance; (iv) allocating resources, including climate-related capital and operating expenditure; and (v) assessing climate resilience through scenario analysis.

We use short-, medium- and long-term time horizons consistent with our risk register and scenario analysis, and we link these to our planning and capital management processes. Climate-related targets, including a net-zero ambition, guide our direction of travel and are monitored through progress indicators. Scenario analysis under the NGFS v4 framework informs our understanding of potential financial effects and supports incorporation of climate considerations into strategic decision-making. Cross-references to the Risk Management and Metrics and targets sections provide further detail on governance, methodologies and target metrics.

Sustainability risks and opportunities across the value chain

This subsection describes where climate-related risks and opportunities arise across our value chain and over different time horizons.

We identify both physical and transition risks in our climate risk register:

- Physical risks (acute and chronic) include:
 - Flood risk in the mortgage portfolio, rated high with a long-term (5+ years) horizon and an estimated financial impact of EUR 24.8 million.
 - Wildfire exposure in parts of the southern portfolio, rated medium with a short-term (0–2 years) horizon and an estimated financial impact of EUR 22.7 million.
- Transition risks include:
 - Technology risk from the shift to electric vehicles in auto lending, rated high in the short term with an estimated impact of EUR 165.2 million.
 - Market risk from potential stranded assets in fossil fuel sector exposure, rated high in the long term with an estimated impact of EUR 136.5 million.
 - Policy risk from carbon pricing on industrial loans, rated high in the medium term with an estimated impact of EUR 67.5 million.
 - Reputational risk from scrutiny of financed emissions, rated medium in the medium term with an estimated impact of EUR 65.5 million.

Across the value chain, the most material exposures are concentrated in downstream financing counterparties. High-carbon sector exposure represents 35.5% of the loan book (EUR 11,059.49 million), and fossil-fuel exposure represents 22.15% (EUR 6,899.59 million). Material nodes include lending to manufacture of coke and refined petroleum, mining of coal and lignite, mining of metal ores and other mining and quarrying, all of which are subject to elevated transition policy risk from carbon pricing and demand shifts. Other significant nodes, such as manufacture of motor vehicles and education, are exposed to moderate physical and transition risk.

Own operations, including buildings and the corporate fleet, contribute to Scope 1 and 2 emissions and face physical disruption risk. Upstream suppliers are in scope qualitatively, although not all nodes have quantified financial exposure.

Climate-related opportunities arise primarily in downstream products and services. We identify estimated revenue opportunities from green loan growth, sustainable bond underwriting, transition advisory and renewable energy project finance, as well as operational energy efficiency in our own facilities. These are described in more detail below and are treated as potential, not assured, revenue streams.

Strategic management of climate-related risks and opportunities

This subsection explains how we manage identified climate-related risks and opportunities through our strategic approach.

Our strategy combines portfolio steering, risk management tools and product development:

- Portfolio steering and targets:
 - We have adopted climate-related targets, including an absolute reduction target for Scope 1 and 2 emissions aligned with an SBTi 1.5°C pathway by 2030, an intensity reduction target for financed emissions (Scope 3 category 15) by 2030 under a net-zero banking framework, and a net-zero target across all scopes by 2050. All three targets are currently assessed as on track, with progress of 40.0%, 25.0% and 13.3% respectively in 2024.
 - These targets inform our approach to high-carbon and fossil-fuel sector exposures and support the growth of green and sustainability-linked lending.
- Risk management mechanisms:
 - Climate scenario stress testing is integrated into our internal capital adequacy assessment process to assess transition technology risk, including the shift to electric vehicles in auto lending.
 - Collateral revaluation and flood mapping overlays are used to assess physical risk in flood- and wildfire-exposed portfolios and to inform risk-based pricing and credit decisions.
 - Sector exposure limits and enhanced due diligence are applied to industrial sectors sensitive to carbon pricing, such as mining and heavy manufacturing.
 - Portfolio decarbonisation glide-path monitoring is used to track financed emissions and manage reputational risk from emissions scrutiny.
- Opportunity management:

- We are expanding our green and sustainability-linked loan book, which currently stands at EUR 3,335.75 million (10.71% of total loans), and we are developing sustainable capital markets and advisory offerings to respond to client transition needs.

We have not yet published a standalone, fully specified climate transition plan. The Bank does not currently disclose the detailed assumptions or dependencies that would underpin such a plan; these will be further developed and described where relevant in future reporting and in the Metrics and targets section.

Climate-related effects on business model, value chain and decision-making

This subsection outlines how climate-related risks and opportunities affect our business model, value chain and decision-making.

Our core business model as a universal bank exposes us primarily to climate-related risks and opportunities through our lending and capital markets activities. The concentration of high-carbon and fossil-fuel exposures in specific corporate sectors influences our sectoral risk appetite, credit underwriting standards and client engagement priorities. For example, lending to manufacture of coke and refined petroleum, mining of coal and lignite, and other mining activities is subject to enhanced scrutiny due to elevated transition policy risk. Exposure to sectors such as motor vehicles and education is assessed for both physical and transition risk, influencing collateral requirements and pricing.

Green and sustainability-linked lending, sustainable bond underwriting, transition advisory and renewable energy project finance are becoming more prominent components of our product offering. These activities are intended to support clients' transition plans and to diversify our revenue base towards lower-carbon activities.

Climate-related considerations are integrated into decision-making through the use of climate risk metrics (including financed emissions and carbon intensity), scenario analysis outputs and target progress indicators. These inputs inform strategic discussions on portfolio composition, sector limits and the pace of green loan growth.

The Bank does not currently disclose a separate, detailed business-model impact assessment that quantifies how climate-related factors may reshape the overall business model beyond the portfolio and product effects described above. The Bank also does not currently disclose quantified or documented trade-off analysis for strategy decisions, such as explicit trade-offs between exiting high-carbon sectors and maintaining client relationships.

Financial effects and resource allocation

This subsection describes how climate-related risks and opportunities influence our financial position, performance and resource allocation.

We use climate-related capital and operating expenditure as indicators of resource allocation to climate priorities. In 2024, climate-related capital expenditure amounted to EUR 476.95 million and climate-related operating expenditure amounted to EUR 219.32 million. These amounts relate to activities such as facility energy efficiency upgrades, systems and data enhancements for climate risk management, and development of green and sustainable finance capabilities. They are

indicators of strategic resource allocation and are not presented as separate line items in the primary financial statements; they are expected to affect depreciation, operating expenses and, over time, net interest income and fee income.

Our portfolio metrics show that high-carbon sector exposure is EUR 11,059.49 million (35.5% of the loan book) and fossil-fuel exposure is EUR 6,899.59 million (22.15%). These exposures, together with financed emissions of 35,973,167.69 tonnes of CO₂ equivalent and a carbon intensity of 1,154.81 tonnes of CO₂ equivalent per million euro of exposure, indicate areas where climate-related risks may affect expected credit losses, risk-weighted assets and funding costs over time.

Climate-related opportunities are associated with estimated revenue impacts. We estimate potential revenue of EUR 180.0 million from green and sustainability-linked loan growth, EUR 95.0 million from sustainable bond underwriting, EUR 42.0 million from transition advisory, EUR 130.0 million from renewable energy project finance and EUR 18.0 million from operational energy efficiency. These figures are modelled estimates with medium confidence and should not be interpreted as assured future revenue.

We also use climate scenario analysis to estimate potential financial effects. Modelled outputs include transition risk loss and physical risk loss as percentages of capital, stranded asset estimates and revenue at risk. These are described in the next subsection and are not actual realised losses. The Bank does not currently disclose a granular mapping of climate-related financial effects to specific financial statement line items or a breakdown of climate capex and opex by activity.

The Bank does not currently disclose planned sources of funding specifically earmarked to implement its climate strategy; funding is managed within the overall capital and liquidity planning framework.

Climate resilience and scenario analysis

This subsection explains how we assess the resilience of our strategy and business model using climate scenario analysis.

Scenario framework, types and scope

We use the NGFS v4 scenario framework, covering orderly, disorderly and hot house world scenarios. Named scenarios include Net Zero 2050, Below 2°C, Divergent Net Zero, Delayed Transition, Nationally Determined Contributions and Current Policies. We assess short-term (2025), medium-term (2030) and long-term (2050) horizons.

The analysis is applied to our lending book exposures across several European jurisdictions, including Germany, France, Italy, the Netherlands and Spain. We use a top-down sector-pathway approach, mapping sectoral transition and physical risk drivers to our counterparties.

Key assumptions and methodology

Key assumptions include:

- Carbon prices ranging from EUR 1.2 to EUR 287.1 per tonne of CO₂ equivalent across scenarios and time horizons, reflecting different policy stringency levels.
- Temperature outcomes between 1.5°C and 3.0°C by 2100, depending on the scenario.

- Technology readiness levels that vary by scenario and sector, ranging from low to high, particularly for low-carbon technologies in energy, transport and industry.
- Macroeconomic and energy system assumptions consistent with NGFS v4 and related reference pathways, including changes in GDP growth, energy demand and the share of renewable energy in the power mix.
- For the orderly Net Zero 2050 scenario, we apply a sector-pathway methodology with carbon prices aligned to an international net-zero energy trajectory and derive stranded asset estimates from sector-level fossil fuel capital expenditure exposure.
- For disorderly scenarios, such as Divergent Net Zero and Delayed Transition, we model abrupt policy changes, heterogeneous carbon prices and uneven technology deployment.
- For hot house scenarios, including Current Policies and Nationally Determined Contributions, we focus on physical risk intensification and delayed policy action.

Key modelled financial outputs

Modelled outputs include:

- Maximum physical risk loss: under the Current Policies hot house scenario in 2050, modelled physical risk losses reach 32.0% of capital.
- Maximum transition risk loss: under the Divergent Net Zero disorderly scenario in 2025, modelled transition risk losses reach 23.1% of capital.
- Maximum stranded assets estimate: under the Net Zero 2050 orderly scenario in 2050, modelled stranded assets are estimated at EUR 33,575.2 million, derived from sector-level fossil fuel capital expenditure exposure.
- Maximum revenue at risk: under the Nationally Determined Contributions hot house scenario in 2025, modelled revenue at risk is EUR 35,509.1 million.

These figures are modelled estimates and not realised losses or impairments.

Scenario-specific resilience

- Orderly scenarios (e.g. Net Zero 2050, Below 2°C):
 - Under orderly transition scenarios, transition risk losses remain within our internal capital buffer thresholds. Green loan growth and client engagement on transition plans are expected to reduce high-carbon sector concentration over the medium term. Our climate-related targets and portfolio steering mechanisms are intended to support this trajectory.
- Disorderly scenarios (e.g. Divergent Net Zero, Delayed Transition):
 - Under disorderly scenarios, near-term resilience is acceptable but medium-term capital consumption from stranded asset impairments is material. Sector exposure limits and portfolio decarbonisation glide-path monitoring are key mechanisms to manage these risks. Additional capital buffers may be required after 2030 under the most adverse assumptions.
- Hot house scenarios (e.g. Current Policies, Nationally Determined Contributions):
 - Under hot house world scenarios, physical risk losses become the dominant long-term challenge. Collateral revaluation risk in flood-exposed mortgage books and increased default risk among agricultural and other climate-sensitive borrowers are key transmission channels.

Flood-zone overlays and energy performance certificate-based collateral monitoring are used to manage these risks over the 2050 horizon.

Adaptation capacity

Our adaptation capacity is informed by:

- Financial resources: climate-related capital expenditure of EUR 476.95 million and operating expenditure of EUR 219.32 million, which are directed towards risk management capabilities, data and systems, and green product development.
- Portfolio flexibility: sector exposure limits, green loan growth (currently 10.71% of the loan book), decarbonisation glide-path monitoring and client engagement on transition plans, which provide mechanisms to adjust portfolio composition over time.
- Current and planned investment effects: investments in renewable energy project finance, green and sustainability-linked loans and operational energy efficiency are intended to support both risk mitigation and opportunity capture.

The evidence does not provide enough detail to assess full operational adaptation capacity at the level of individual assets or business lines. Resilience observations are therefore scenario-specific and focused on capital and portfolio metrics rather than operational continuity.

Strategy limitations and evidence boundaries

This subsection summarises key limitations and boundaries of the Strategy disclosures.

Business model: The Bank's disclosures describe climate-related risks and opportunities, portfolio exposures and value-chain effects. The Bank does not currently disclose a separate, detailed business-model impact assessment that quantifies how climate-related factors may reshape the overall business model beyond these portfolio and product effects.

Trade-offs: The Bank does not currently disclose quantified or documented trade-off analysis for strategy decisions, such as explicit trade-offs between exiting high-carbon sectors and maintaining client relationships or between short-term profitability and long-term decarbonisation.

Targets: Only target summary information is used in this section. Detailed target assumptions and dependencies, including any validation and methodological aspects, are described only where available in the Metrics and targets section.

Transition plan: The Bank has not yet published a standalone, fully specified climate transition plan. Available evidence identifies climate-related targets and governance decisions but does not specify the key assumptions or dependencies that would underpin a comprehensive transition plan.

Financial effects: Climate-related financial effects from scenario analysis are modelled estimates and should not be interpreted as realised losses, impairments or capital requirements. Climate-related capital and operating expenditure figures are indicators of resource allocation and not separate financial statement line items. The Bank does not currently disclose a granular mapping of climate-related financial effects to specific financial statement captions or a breakdown of climate capex and opex by activity.

Opportunities: Revenue impacts associated with climate-related opportunities are modelled estimates with stated confidence levels and should not be interpreted as assured future revenue or profit.

Scenarios and resilience: Scenario outputs, including physical and transition risk losses, stranded asset estimates and revenue at risk, are modelled estimates subject to uncertainty in assumptions such as carbon prices, technology readiness and policy developments. Resilience observations are scenario-specific and do not constitute a general statement of overall bank-wide resilience to all climate-related risks.

Risk management

Sustainability-related risk management overview

This section explains how Eurolux Universal Bank AG identifies, assesses, monitors and manages climate-related risks as a subset of its overall risk universe.

In 2024, we maintained and used a climate risk register to record and monitor climate-related risks with potential financial effects. The 2024 register contains eight climate-related risks, comprising three physical risks and five transition risks. These risks are classified into the following categories: acute physical, chronic physical, transition market, transition policy, transition reputational and transition technology.

Each risk in the register is characterised by:

- a qualitative risk rating (high or medium);
- an assigned time horizon (short term: 0–2 years; medium term: 2–5 years; long term: more than 5 years);
- an indicative financial impact expressed in millions of euros;
- a monitoring frequency (quarterly or semi-annual);
- a flag indicating whether the risk is integrated into our enterprise risk management processes; and
- any link to climate-related scenario analysis.

Six of the eight recorded climate-related risks are flagged as integrated into our enterprise risk management processes. Four of the eight risks were updated compared with the prior period, indicating that our assessment of climate-related risks evolves as new information becomes available.

We use climate-related scenario analysis as a forward-looking input for selected risks. Five of the eight risks in the 2024 register reference scenario identifiers, which in turn draw on a set of 18 climate scenarios based on the NGFS v4 framework that covers orderly, disorderly and higher-temperature (“hot house”) transition pathways and time horizons to 2025, 2030 and 2050. Several risks may reference the same scenario, so the number of scenario-linked risks is higher than the number of distinct scenarios used. Scenario analysis is used to inform our forward-looking assessment of those specific risks, rather than to represent actual or realised losses.

Mitigation actions are recorded for the risks disclosed in this report. For 2024, these actions include:

- “Climate scenario stress testing integrated into ICAAP”;
- “Collateral revaluation and flood mapping overlay”;
- “Engagement and transition-plan covenants with borrowers”;
- “Green retrofit financing incentives”;
- “Portfolio decarbonisation glide-path monitoring”; and
- “Sector exposure limits and enhanced due diligence”.

These actions are used to manage specific risks and are not presented as a complete set of controls for all climate-related risks.

We also monitor selected climate-related key performance indicators, including financed emissions, carbon intensity, high-carbon sector exposure and fossil-fuel exposure. In 2024, our reported financed emissions were approximately 36.0 million tonnes of carbon dioxide equivalent, with a portfolio carbon intensity of around 1,155 tonnes of carbon dioxide equivalent per million euros of exposure. Exposures to high-carbon sectors represented 35.5% of the portfolio, and exposures to fossil-fuel-related activities represented 22.15%. These indicators provide additional context for transition and reputational risks, particularly those related to financed emissions scrutiny and exposure to high-carbon sectors. They are not used as formal risk appetite thresholds in this report.

Climate-related opportunities are not recorded in the 2024 climate risk register, and we do not currently disclose separate processes for identifying, assessing or monitoring climate-related opportunities.

Upstream sustainability risks

This subsection describes how we consider sustainability-related risks in relation to upstream dependencies such as funding, suppliers and access to capital.

Our 2024 climate risk register is focused on risks arising from our lending and credit portfolios and does not separately classify upstream sustainability-related risks. The recorded climate-related risks primarily relate to borrower creditworthiness, collateral values and sectoral transition dynamics, rather than to our own funding structure, suppliers or other upstream dependencies.

As a result, we do not currently disclose a distinct upstream sustainability risk management process or separate upstream climate risk taxonomy. Any upstream implications of climate-related risks, such as potential effects on funding costs or investor sentiment, are considered indirectly through the transition and reputational risks recorded in the climate risk register, including the risk described as “Reputational risk — financed emissions scrutiny”.

Risk management across internal operations

This subsection explains how climate-related risks are considered in relation to our own operations.

The 2024 climate risk register does not include separate entries for climate-related risks that arise solely from our internal operations, such as our own facilities, data centres or business continuity arrangements. The physical risks recorded in the register relate to exposures in our lending portfolios, including:

- “Physical risk — mortgage book flood exposure” (acute physical risk, high rating, long-term horizon, monitored quarterly);
- “Physical risk — wildfire exposure in southern portfolio” (acute physical risk, medium rating, short-term horizon, monitored semi-annually); and
- “Physical risk — heat stress on agricultural borrowers” (chronic physical risk, medium rating, short-term horizon, monitored semi-annually).

These risks are assessed in terms of their potential impact on borrowers and collateral, rather than on our own operational sites or internal processes. We do not currently disclose dedicated internal operational climate risk controls, data governance procedures or major-transaction climate checks beyond the risk-specific mitigation actions recorded in the register.

Accordingly, climate-related risk management across our internal operations is not separately described in this report and remains outside the scope of the 2024 climate risk register.

Downstream sustainability risks

This subsection focuses on downstream sustainability-related risks, which for a commercial bank arise primarily through lending, counterparties, collateral and sector exposures.

The 2024 climate risk register indicates that our material climate-related risks are predominantly downstream and relate to our credit portfolios. The key themes are:

- Transition technology risk: “Transition risk — EV shift in auto lending” is rated high, with a short-term horizon and the largest indicative financial impact in the register (EUR 165.2 million). It is monitored quarterly and is integrated into our enterprise risk management processes. The recorded mitigation action is “Climate scenario stress testing integrated into ICAAP”, and the risk references a climate scenario identifier.
- Transition market risk: “Stranded assets — fossil fuel sector exposure” is rated high, with a long-term horizon and a significant indicative financial impact (EUR 136.5 million). It is monitored quarterly and integrated into enterprise risk management. The recorded mitigation action is “Collateral revaluation and flood mapping overlay”.
- Transition policy risk: Two risks are recorded:
 - “Transition risk — carbon pricing on industrial loans” (high rating, medium-term horizon, indicative financial impact of EUR 67.5 million, quarterly monitoring, integrated into enterprise risk management), with the mitigation action “Sector exposure limits and enhanced due diligence”; and
 - “Transition risk — building energy performance regulation” (medium rating, long-term horizon, indicative financial impact of EUR 21.6 million, semi-annual monitoring, not flagged as integrated into enterprise risk management), with the mitigation action “Green retrofit financing incentives”.
- Transition reputational risk: “Reputational risk — financed emissions scrutiny” is rated medium, with a medium-term horizon and an indicative financial impact of EUR 65.5 million. It is monitored semi-annually, integrated into enterprise risk management and linked to a climate scenario identifier. The recorded mitigation action is “Portfolio decarbonisation glide-path monitoring”.
- Physical credit risk: The three physical risks noted above relate to flood, wildfire and heat stress exposures in our mortgage and agricultural portfolios. These risks are associated with potential changes in default rates and collateral values in affected regions and sectors. Mitigation actions recorded for these risks include “Collateral revaluation and flood mapping overlay” for wildfire exposure, “Engagement and transition-plan covenants with borrowers” for mortgage book flood exposure, and “Climate scenario stress testing integrated into ICAAP” for heat stress on agricultural borrowers.

These downstream risks are assessed using qualitative ratings (high or medium), time horizons and indicative financial impacts. Monitoring frequencies are set at quarterly or semi-annual intervals, depending on the risk. Scenario analysis is used as a forward-looking input for selected downstream risks, particularly those related to the electric vehicle transition in auto lending, physical flood and heat stress exposures, and reputational risks linked to financed emissions.

Our reported climate-related key performance indicators provide additional context for these downstream risks. In 2024, we reported financed emissions of approximately 36.0 million tonnes of carbon dioxide equivalent, a portfolio carbon intensity of around 1,155 tonnes of carbon dioxide equivalent per million euros of exposure, exposure to high-carbon sectors of 35.5% and exposure to fossil-fuel-related activities of 22.15%. These indicators are used to monitor the overall context in which transition and reputational risks may evolve, but they are not presented as formal limits or thresholds in this section.

We do not currently disclose separate processes for identifying or managing downstream climate-related opportunities, such as green lending growth, beyond the risk-focused mitigation actions recorded in the register (for example, “Green retrofit financing incentives”).

Climate risk management

This subsection provides a detailed description of our climate risk management approach as reflected in the 2024 climate risk register.

Risk identification and classification

We identify climate-related risks through our risk register process, which records eight climate-related risks for 2024. These are classified into:

- Physical risks:
 - Acute physical risks, including flood and wildfire exposure in lending portfolios;
 - Chronic physical risks, including heat stress affecting agricultural borrowers.
- Transition risks:
 - Market risks, including potential stranded assets in fossil fuel sector exposures;
 - Policy risks, including carbon pricing on industrial loans and building energy performance regulation;
 - Reputational risks, including scrutiny of financed emissions;
 - Technology risks, including the shift to electric vehicles in auto lending.

Each risk is assigned a time horizon (short term: 0–2 years; medium term: 2–5 years; long term: more than 5 years) and a qualitative risk rating (high or medium). These attributes provide a structured way to distinguish near-term from longer-term risks and to highlight those with higher potential financial impact.

Risk assessment and prioritisation

We assess the potential financial effects of each climate-related risk using indicative financial impact estimates expressed in millions of euros. The top risks by indicative financial impact in 2024 are:

- “Transition risk — EV shift in auto lending” (EUR 165.2 million, high rating, short-term horizon);

- “Stranded assets — fossil fuel sector exposure” (EUR 136.5 million, high rating, long-term horizon);
- “Transition risk — carbon pricing on industrial loans” (EUR 67.5 million, high rating, medium-term horizon);
- “Reputational risk — financed emissions scrutiny” (EUR 65.5 million, medium rating, medium-term horizon);
- “Physical risk — mortgage book flood exposure” (EUR 24.8 million, high rating, long-term horizon);
- “Physical risk — wildfire exposure in southern portfolio” (EUR 22.7 million, medium rating, short-term horizon);
- “Transition risk — building energy performance regulation” (EUR 21.6 million, medium rating, long-term horizon);
- “Physical risk — heat stress on agricultural borrowers” (EUR 20.6 million, medium rating, short-term horizon).

These indicative financial impacts, together with the qualitative ratings and time horizons, are used to prioritise climate-related risks relative to one another and to other material risks. Four of the eight risks were updated compared with the prior period, reflecting changes in our assessment of their potential financial impact, time horizon or other attributes.

We do not currently disclose quantitative probability scores, formal risk appetite thresholds or detailed prioritisation methodologies for climate-related risks.

Risk monitoring

Monitoring frequencies are recorded for each risk in the register and are set at either quarterly or semi-annual intervals. In general:

- High-rated risks with larger indicative financial impacts, such as the electric vehicle transition in auto lending, stranded fossil fuel exposures, carbon pricing on industrial loans and mortgage book flood exposure, are monitored quarterly.
- Medium-rated risks, including reputational risk from financed emissions scrutiny, wildfire exposure, building energy performance regulation and heat stress on agricultural borrowers, are monitored semi-annually.

These monitoring frequencies are used to schedule periodic reviews of risk assessments, including updates to indicative financial impacts, time horizons and mitigation actions where appropriate.

Scenario analysis

We use climate-related scenario analysis as a forward-looking input for selected risks. In 2024:

- Five of the eight recorded risks reference scenario identifiers;
- These identifiers are drawn from a set of 18 climate scenarios that cover different transition pathways (including orderly, disorderly and higher-temperature outcomes) and time horizons (2025, 2030 and 2050), based on the NGFS v4 framework;
- The scenario-linked risks include:
- “Transition risk — EV shift in auto lending”;

- “Reputational risk — financed emissions scrutiny”;
- “Physical risk — mortgage book flood exposure”;
- “Physical risk — wildfire exposure in southern portfolio”; and
- “Physical risk — heat stress on agricultural borrowers”.

Several risks may reference the same scenario, so the number of scenario-linked risks is greater than the number of distinct scenarios used. Scenario analysis is used to explore how different climate and policy pathways could affect the profile of specific climate-related risks over time. Scenario outputs are modelled estimates and are not treated as forecasts or as evidence of actual losses.

Risk mitigation and management actions

Mitigation actions are recorded for the risks disclosed in this report. Across the eight risks, the following actions are used:

- “Climate scenario stress testing integrated into ICAAP”;
- “Collateral revaluation and flood mapping overlay”;
- “Engagement and transition-plan covenants with borrowers”;
- “Green retrofit financing incentives”;
- “Portfolio decarbonisation glide-path monitoring”; and
- “Sector exposure limits and enhanced due diligence”.

These actions are applied to specific risks as recorded in the register. For example, “Climate scenario stress testing integrated into ICAAP” is used for selected transition and physical risks, “Collateral revaluation and flood mapping overlay” is used for certain market and physical risks, and “Sector exposure limits and enhanced due diligence” is used for transition policy risks related to carbon pricing. “Engagement and transition-plan covenants with borrowers” and “Green retrofit financing incentives” are used in relation to mortgage and building-related risks, while “Portfolio decarbonisation glide-path monitoring” is associated with reputational risk from financed emissions scrutiny.

We do not present these mitigation actions as a complete set of controls for all climate-related risks, and we do not claim that they eliminate the underlying risks. Rather, they represent the specific management responses recorded for the identified risks in 2024.

Integration with enterprise risk management

Six of the eight climate-related risks in the 2024 register are flagged as integrated into our enterprise risk management processes. These include the high-impact transition risks (electric vehicle shift in auto lending, stranded fossil fuel exposures, carbon pricing on industrial loans), the reputational risk from financed emissions scrutiny, the mortgage book flood exposure and the chronic physical risk related to heat stress on agricultural borrowers.

We do not currently disclose detailed descriptions of how climate-related risks are embedded into specific enterprise risk management processes beyond the integration flags and the recorded mitigation actions.

Climate-related opportunities

The 2024 climate risk register does not include separate entries for climate-related opportunities, and we do not currently disclose processes for identifying, assessing, prioritising or monitoring such opportunities. Where mitigation actions may have opportunity elements, such as “Green retrofit financing incentives”, they are recorded in the register in the context of managing specific risks rather than as standalone opportunity management processes.

Process changes compared with the prior period

Four of the eight recorded risks are marked as having changed since the prior period. This indicates that our climate risk assessments are updated over time, but we do not currently disclose a detailed narrative of process changes, such as methodological revisions or governance enhancements, beyond the changed-since-prior-period flags in the register.

Risk management limitations and evidence boundaries

This subsection summarises the main limitations and boundaries of our 2024 climate-related risk management disclosures.

- **Formal risk appetite:** We do not currently disclose formal climate-specific risk appetite thresholds or limits, including quantitative tolerances for financed emissions, sector exposures or climate-related loss levels.
- **Policies and controls:** We do not currently disclose detailed climate risk policies, formal control procedures or internal standards that may apply to climate-related risk management beyond the mitigation actions recorded in the climate risk register.
- **Escalation thresholds:** We do not currently disclose formal escalation thresholds or triggers for climate-related risks, such as defined criteria for management escalation or governance committee review.
- **Upstream and internal operations:** Our 2024 climate risk register is focused on risks arising from lending portfolios and does not provide a separate taxonomy or process description for upstream sustainability-related risks (for example, suppliers or funding) or for climate-related risks arising solely from our own operations. As a result, upstream and internal operational climate risk management processes are outside the scope of this report.
- **Opportunities:** We do not currently disclose dedicated processes for identifying, assessing, prioritising or monitoring climate-related opportunities. Any opportunity elements embedded in mitigation actions are presented in the context of risk management.
- **Scenario analysis:** Climate-related scenario analysis is used as a forward-looking input for selected risks and is based on modelled estimates. Scenario outputs are subject to uncertainty and are not treated as forecasts or as evidence of actual or realised losses.
- **Methodological detail:** We do not disclose detailed probability models, quantitative scoring methodologies or the internal mechanics of scenario models, nor do we provide a full description of how climate-related risks are prioritised relative to all other risk types beyond the qualitative ratings, time horizons and indicative financial impacts recorded in the register.

Within these boundaries, the 2024 climate risk register, together with the associated scenario links, monitoring frequencies, mitigation actions and enterprise risk management integration flags, provides the primary basis for our climate-related risk management disclosures in this report.

Supporting data and exhibits

Table R1 — 2024 climate risk register (summary)

Risk	Category	Rating	Time horizon	Financial impact	Monitoring	ERM-integrated	Scenario-linked
Transition risk — EV shift in auto lending	Transition - technology	High	Short (0-2 yr)	EUR 165.2m	Quarterly	Yes	Linked
Stranded assets — fossil fuel sector exposure	Transition - market	High	Long (>5 yr)	EUR 136.5m	Quarterly	Yes	—
Transition risk — carbon pricing on industrial loans	Transition - policy	High	Medium (2-5 yr)	EUR 67.5m	Quarterly	Yes	—
Reputational risk — financed emissions scrutiny	Transition - reputational	Medium	Medium (2-5 yr)	EUR 65.5m	Semi annual	Yes	Linked
Physical risk — mortgage book flood exposure	Physical - acute	High	Long (>5 yr)	EUR 24.8m	Quarterly	Yes	Linked
Physical risk — wildfire exposure in southern portfolio	Physical - acute	Medium	Short (0-2 yr)	EUR 22.7m	Semi annual	No	Linked
Transition risk — building energy performance regulation	Transition - policy	Medium	Long (>5 yr)	EUR 21.6m	Semi annual	No	—
Physical risk — heat stress on agricultural borrowers	Physical - chronic	Medium	Short (0-2 yr)	EUR 20.6m	Semi annual	Yes	Linked

Metrics and targets

Overview

This section presents the key metrics and targets Eurolux Universal Bank AG uses to measure and manage climate-related risks and opportunities for the year ended 31 December 2024. It covers portfolio emissions, exposure to high-carbon and fossil-fuel activities, green lending, climate-related capital and operating expenditure, and the Bank's climate-related targets. The disclosures are prepared with reference to IFRS S1 and IFRS S2 and focus on information that could reasonably be expected to affect the Bank's prospects.

The Bank distinguishes between: - sustainability-related metrics used to monitor broader environmental and climate-related risks and opportunities; - greenhouse gas emissions metrics, including financed emissions; and - climate-related financial metrics and targets that inform strategic planning and risk management.

Oversight of climate-related targets by the Board and the ESG and Sustainability Committee is described in the Governance section of this report.

Sustainability-related metrics and targets

This subsection summarises the principal sustainability-related metrics that the Bank uses to assess and manage climate-related risks and opportunities in its core banking activities.

Key portfolio and exposure metrics for 2024 are:

- Total assets: EUR 850,000 million.
- Total loans and advances to customers: EUR 31,150.64 million.

Within this loan portfolio, the Bank monitors the following climate-related indicators:

- High-carbon sector exposure:
 - EUR 11,059.49 million, representing 35.5% of the total loan portfolio.
- Fossil-fuel exposure:
 - EUR 6,899.59 million, representing 22.15% of the total loan portfolio.
- Green loans:
 - EUR 3,335.75 million, representing 10.71% of the total loan portfolio.

These metrics are used to monitor the Bank's exposure to sectors with elevated transition risk, as well as the scale of lending that supports climate-related opportunities through green financing. They also provide the basis for monitoring progress against the Bank's climate-related targets described below.

The Bank's climate-related targets, including operational emissions reduction, financed emissions intensity reduction and a long-term net-zero objective, are presented in the "Climate targets and progress" subsection.

Greenhouse gas emissions

This subsection addresses the Bank's own operational greenhouse gas emissions.

For the 2024 reporting period, detailed records of operational Scope 1, Scope 2 and Scope 3 greenhouse gas emissions are unavailable. As a result, the Bank does not currently disclose quantified operational emissions for 2024 in this report. The Bank intends to enhance its operational emissions data collection and reporting processes over time.

Managing exposure towards financed emissions

This subsection presents the Bank's 2024 financed emissions metrics and related portfolio indicators, which are key measures of climate-related risk in the lending book.

For 2024, the Bank reports the following financed emissions metrics for its loan portfolio:

- Financed emissions from loans:
 - 35,973,167.69 tonnes of CO₂ equivalent associated with the loan portfolio.
- Carbon intensity of lending:
 - 1,154.81 tonnes of CO₂ equivalent per EUR million of lending, calculated using total loans of EUR 31,150.64 million.

These metrics are used internally to monitor the emissions profile of the Bank's financing activities and to inform risk management, client engagement and strategic planning. The basis of the financed-emissions perimeter (for example, by asset class or sector) is not separately disclosed in this report.

The Bank also monitors portfolio exposure to sectors with elevated transition risk, as set out in the sustainability-related metrics above:

- High-carbon sector exposure: EUR 11,059.49 million (35.5% of total loans).
- Fossil-fuel exposure: EUR 6,899.59 million (22.15% of total loans).

These exposure metrics are used alongside financed emissions and carbon intensity to manage the Bank's transition risk profile. The financed emissions and exposure metrics disclosed for 2024 have not been independently verified.

Climate-related financial metrics and resource allocation

This subsection presents climate-related financial metrics that indicate how the Bank allocates financial resources in response to climate-related risks and opportunities.

For 2024, the Bank reports the following climate-related financial indicators:

- Green loans:
 - EUR 3,335.75 million of green loans outstanding, representing 10.71% of the total loan portfolio of EUR 31,150.64 million.
- Climate-related capital expenditure:
 - EUR 476.95 million of capital expenditure directed towards climate-related initiatives, including investments intended to improve energy efficiency, support low-carbon technologies and enhance climate-related risk management capabilities.

- Climate-related operating expenditure:
- EUR 219.32 million of operating expenditure related to climate initiatives, including activities such as climate risk analysis, data and systems enhancements, and internal capability building.

These metrics are used to monitor the scale of the Bank's financial commitment to climate-related initiatives and to support assessment of the Bank's response to transition and physical climate-related risks. The Bank's approach to classifying green loans and climate-related expenditure is based on internal definitions and governance processes; detailed calculation methodologies and data quality assessments are not described in this report. The climate-related financial metrics disclosed for 2024 have not been independently verified.

Climate targets and progress

This subsection describes the Bank's climate-related targets and reported progress for 2024. All quantitative parameters, including baselines, target values and interim milestones, are target-record parameters and do not represent current-year operational emissions or independently verified performance.

The Bank has three principal climate-related targets:

1. Operational Scope 1 and 2 emissions reduction target (TGT001)
2. Financed emissions intensity reduction target (TGT002)
3. Long-term net-zero greenhouse gas target (TGT003)

A summary of these targets is set out below, followed by narrative explanations.

Summary of climate-related targets (target-record parameters)

- Operational Scope 1 and 2 emissions reduction target
- Scope and metric: Scope 1 and Scope 2 greenhouse gas emissions, measured in tonnes of CO₂ equivalent.
- Baseline: 2020 baseline year with a baseline value of 137,849 tonnes of CO₂ equivalent (target-record parameter).
- Target: 42% reduction in absolute Scope 1 and 2 emissions by 2030 relative to the 2020 baseline.
- Interim milestones:
 - 2025 milestone of 120,480 tonnes of CO₂ equivalent.
 - 2028 milestone of 97,321.4 tonnes of CO₂ equivalent. These values are recorded as interim milestones in the target record and are not reported as actual or forecast emissions.
- Coverage: Whole entity, covering all Kyoto greenhouse gases within Scope 1 and Scope 2.
- Framework: The target record identifies the SBTi 1.5°C pathway as the target framework.
- Third-party validation: The target record indicates that third-party validation is recorded, with SBTi identified as the validation body.

- Progress indicator: The target record reports 40.0% progress against the target as at 2024, expressed as a percentage reduction versus the baseline according to the internal progress metric. This progress indicator has not been independently verified.
- Financed emissions intensity reduction target (TGT002)
- Scope and metric: Financed emissions associated with Scope 3 category 15 (financed emissions), measured as tonnes of CO₂ equivalent per EUR million of lending.
- Baseline: 2022 baseline year with a baseline value of 20.0 tonnes of CO₂ equivalent per EUR million of lending (target-record parameter).
- Target: 30% reduction in financed emissions intensity by 2030 relative to the 2022 baseline.
- Interim milestones:
 - 2025 milestone of 18.2 tonnes of CO₂ equivalent per EUR million of lending.
 - 2028 milestone of 15.8 tonnes of CO₂ equivalent per EUR million of lending. These values are recorded as interim milestones in the target record and are not reported as actual portfolio intensities.
- Coverage: Whole entity, covering all Kyoto greenhouse gases within Scope 3 category 15.
- Framework: The target record identifies the Net-Zero Banking Alliance (NZBA) as the target framework.
- Third-party validation: The target record indicates that third-party validation is recorded, with UNEP FI identified as the validation body.
- Sectoral approach: The target record notes that a sectoral decarbonisation approach is used.
- Progress indicator: The target record reports 25.0% progress against the target as at 2024, expressed as a percentage reduction versus the baseline according to the internal progress metric. This progress indicator has not been independently verified.
- Long-term net-zero greenhouse gas target (TGT003)
- Scope and metric: All scopes (Scope 1, Scope 2 and relevant Scope 3 categories), measured in tonnes of CO₂ equivalent.
- Baseline: 2020 baseline year with a baseline value of 120,000 tonnes of CO₂ equivalent (target-record parameter).
- Target: 100% reduction in net greenhouse gas emissions by 2050 relative to the 2020 baseline, representing a net-zero objective.
- Relationship to gross target: The target record identifies TGT001 as the associated gross emissions reduction target.
- Coverage: Whole entity, covering all Kyoto greenhouse gases across all scopes.
- Framework: The target record identifies the Net-Zero Banking Alliance (NZBA) as the target framework.
- Third-party validation: The target record indicates that third-party validation is recorded, with UNEP FI identified as the validation body.
- Planned use of carbon credits: The target record notes a planned use of carbon credits equivalent to 8.2% of the baseline emissions, with a focus on technology-based removal

credits. This parameter is a target-record assumption and does not represent a current or committed volume of carbon credits.

- Progress indicator: The target record reports 13.3% progress against the target as at 2024, expressed as a percentage reduction versus the baseline according to the internal progress metric. This progress indicator has not been independently verified.

For all three targets:

- The targets apply to the whole entity and cover all Kyoto greenhouse gases within the stated scopes.
- The target records indicate review frequencies of triennial (TGT001), annual (TGT002) and biennial (TGT003) respectively.
- The target records include internal labels relating to consistency with global temperature pathways; these labels are not used in this report as evidence of pathway alignment.
- The target records do not separately detail internal owner roles at the target level; governance oversight of climate-related targets by the Board and the ESG and Sustainability Committee is described in the Governance section.

The Bank uses these targets and associated metrics to guide strategic planning, risk management and engagement with clients. All baseline values, target values, interim milestones and progress percentages disclosed in this subsection are parameters recorded in the Bank's internal target records. They do not constitute current-year operational emissions, do not verify the Bank's 2024 emissions or financed emissions metrics, and do not provide assurance that the targets will be met.

Metrics and targets limitations and evidence boundaries

This subsection summarises key limitations and boundaries relating to the metrics and targets disclosed above.

- Operational greenhouse gas emissions
- Detailed records of operational Scope 1, Scope 2 and Scope 3 emissions for 2024 are unavailable. The Bank therefore does not disclose quantified operational emissions for the reporting year. This limits the ability to compare the operational emissions reduction target parameters with actual 2024 operational emissions.
- Financed emissions and portfolio metrics
- The Bank discloses a single financed emissions figure for loans and a corresponding carbon intensity metric for 2024. The basis of the financed-emissions perimeter, including any exclusions by asset class or product type, is not separately disclosed.
- No disaggregation by sector, geography, asset class or methodology is provided in this report.
- The financed emissions and carbon intensity metrics have not been independently verified.
- Methodologies, data quality and assumptions
- Detailed calculation methodologies, data quality assessments and key assumptions for the reported metrics (including financed emissions, carbon intensity, high-carbon and fossil-fuel exposure, green loans, and climate-related capital and operating expenditure) are not described in this report.

- As a result, users of this report should treat the metrics as subject to estimation uncertainty and potential future refinement.
- Targets and progress indicators
- All baseline values, target values, interim milestones, progress percentages, framework references and third-party validation references are parameters recorded in the Bank's internal target records.
- References to third-party validation indicate that the target record lists a third-party validation field as true and identifies a validation body (for example, SBTi or UNEP FI). These references relate only to the target records and do not verify the Bank's current-year emissions, financed emissions, progress, pathway alignment or the future achievement of any target.
- Progress indicators (expressed as percentages) are internal target-record metrics and have not been independently verified. They should not be interpreted as confirmation that any target has been met or will be met.
- Disaggregation and comparability
- The Bank does not currently disclose disaggregated operational emissions, sectoral financed emissions, or detailed breakdowns of green loans and climate-related expenditure.
- Comparative information for newly introduced metrics or redefined metrics is not presented where it is impracticable to reconstruct prior-period data. Where this is the case, the Bank may enhance comparability in future reporting periods as data quality improves.

The Bank intends to continue developing its climate-related metrics, methodologies and data governance processes over time, with the aim of improving completeness, consistency and decision-usefulness, while recognising that future enhancements are subject to data availability, methodological developments and regulatory expectations.

Supporting data and exhibits

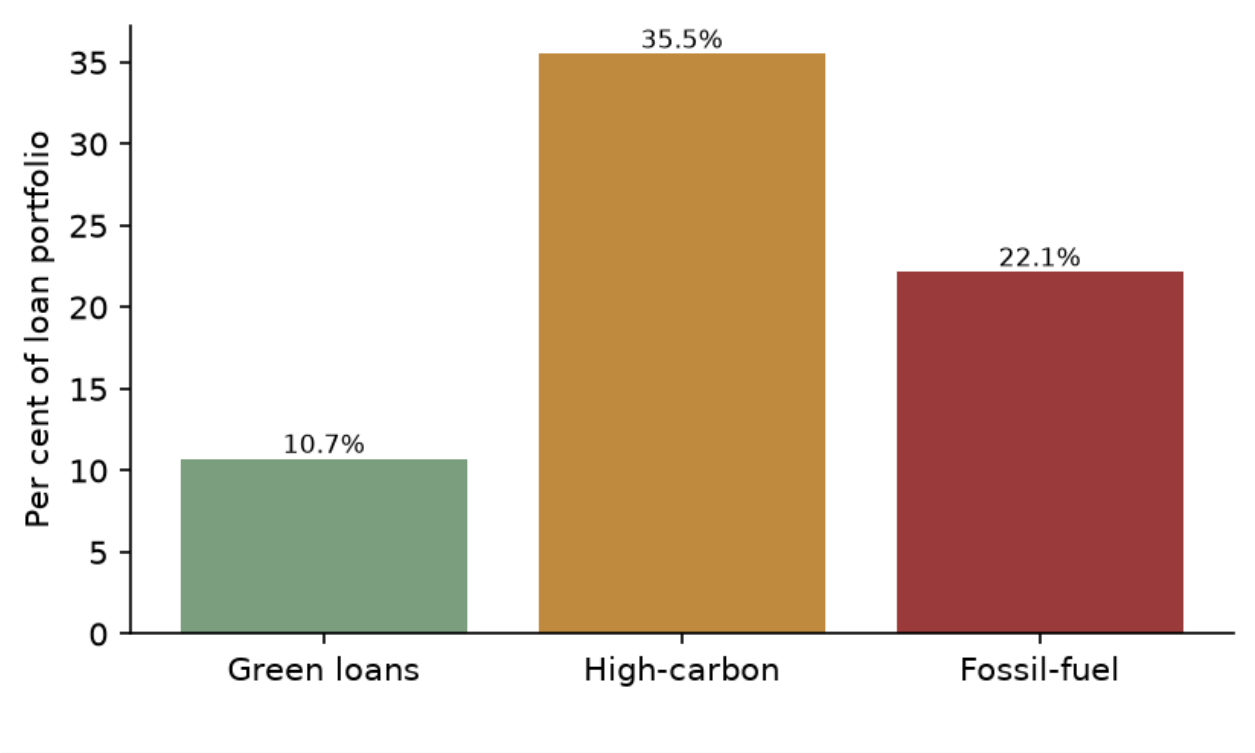
Table M1 — Key climate-related metrics (2024)

Metric	Value
Financed emissions (loan portfolio)	35,973,167.69 tCO ₂ e
Portfolio carbon intensity	1,154.81 tCO ₂ e per EUR m lending
High-carbon sector exposure	EUR 11,059.49m (35.5% of loans)
Fossil-fuel exposure	EUR 6,899.59m (22.1% of loans)
Green loans	EUR 3,335.75m (10.7% of loans)
Climate-related capital expenditure	EUR 476.95m
Climate-related operating expenditure	EUR 219.32m
Total loans	EUR 31,150.64m
Total assets	EUR 850,000.00m

Table M2 — Climate targets (as recorded in internal target records)

Target	Scope	Baseline	Target year	Reduction	Framework	2024 progress (internal, unverified)
Absolute reduction	Scope 1 and 2	137,849 (2020)	2030	42%	SBTi 1.5°C	40.0%
Intensity reduction	Scope 3 cat15 financed	20 (2022)	2030	30%	NZBA	25.0%
Net zero	all Scopes	120,000 (2020)	2050	100%	NZBA	13.3%

Figure M1 — Loan portfolio composition by climate-related category (2024)



Appendices

Appendix A - Abbreviations and defined terms

Term	Definition
ERM	Enterprise Risk Management
ESG	Environmental, Social and Governance
ICAAP	Internal Capital Adequacy Assessment Process
IFRS S1	IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information
IFRS S2	IFRS S2 Climate-related Disclosures
ISAE 3000	International Standard on Assurance Engagements 3000 (assurance of non-financial information)
NGFS	Network for Greening the Financial System
NZBA	Net-Zero Banking Alliance
SBTi	Science Based Targets initiative
Scope 1	Direct greenhouse gas emissions from owned or controlled sources
Scope 2	Indirect greenhouse gas emissions from purchased energy
Scope 3	Other indirect greenhouse gas emissions across the value chain, including financed emissions
TCFD	Task Force on Climate-related Financial Disclosures
UNEP FI	United Nations Environment Programme Finance Initiative
tCO ₂ e	Tonnes of carbon dioxide equivalent

Appendix B - Basis of preparation

This report presents the sustainability-related and climate-related financial disclosures of Eurolux Universal Bank AG for the financial year ended 31 December 2024, prepared with reference to IFRS S1 and IFRS S2. The reporting entity is Eurolux Universal Bank AG, headquartered in Germany. Monetary amounts are presented in euro (EUR) unless otherwise stated.

Quantitative climate-related metrics, in particular forward-looking scenario outputs and financed emissions, represent management's best estimates and are subject to measurement uncertainty. Except where an assurance statement is expressly provided, the metrics in this report have not been externally audited or assured.

Methodology limitations. The following matters are not addressed in this report for the current reporting year, and are areas the Bank intends to develop in future reporting cycles:

- Formal climate-related risk-appetite thresholds are not disclosed.
- Standalone climate-risk policy documents are not separately disclosed.
- Detailed formal control procedures, including individual control owners, are not disclosed.
- Formal escalation thresholds are not disclosed.
- The Bank's operational Scope 1, Scope 2 and Scope 3 greenhouse gas emissions are not separately quantified in this report.
- A breakdown of financed emissions by sector or asset class is not currently reported.
- A detailed description of the financed-emissions measurement methodology is not provided.
- A formal three-lines-of-defence assignment of climate-risk responsibilities is not described.

Appendix C - Referenced information and frameworks

This report refers to the following frameworks, standards and initiatives:

Reference	Description
IFRS S1	IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information (ISSB).
IFRS S2	IFRS S2 Climate-related Disclosures (ISSB).
TCFD	Recommendations of the Task Force on Climate-related Financial Disclosures.
ISAE 3000	International Standard on Assurance Engagements 3000 (Revised).
SBTi	Science Based Targets initiative target-setting framework.
NZBA	Net-Zero Banking Alliance.
NGFS	Network for Greening the Financial System climate scenarios.
UNEP FI	United Nations Environment Programme Finance Initiative.

Appendix D - IFRS S1 and IFRS S2 disclosure index

The following index indicates the section of this report in which each IFRS S1 and IFRS S2 content area is addressed. Where a content area is addressed only in part, the relevant limitation is set out in the section concerned and summarised in Appendix B.

IFRS S1 / S2 content area	Where addressed in this report
IFRS S1 - General requirements (governance, strategy, risk management, metrics and targets; connected information; judgements and uncertainties)	General Requirements
IFRS S2 - Governance	Governance
IFRS S2 - Strategy (business model and value chain, climate-related risks and opportunities, scenario analysis, financial effects)	Strategy
IFRS S2 - Risk management	Risk management
IFRS S2 - Metrics and targets (cross-industry metrics, greenhouse gas emissions, climate-related targets)	Metrics and targets
IFRS S2 - Industry-based metrics (commercial banks)	Metrics and targets (financed-emissions and exposure metrics)